9. Not declared Void

The agreement should be such that it should be capable of being enforced by law. Certain agreements have been expressly declared illegal or void by the law.

10. Necessary Legal Formalities

A contract may be oral or in writing. Where a particular type of contract is required by law to be in writing and registered, it must comply with necessary formalities as to writing, registration and attestation. If legal formalities are not carried out then the contract is not enforceable by law.

For example: A promise to pay a time barred debt must be in writing.

All Contracts are Agreements, but all Agreements are not Contracts

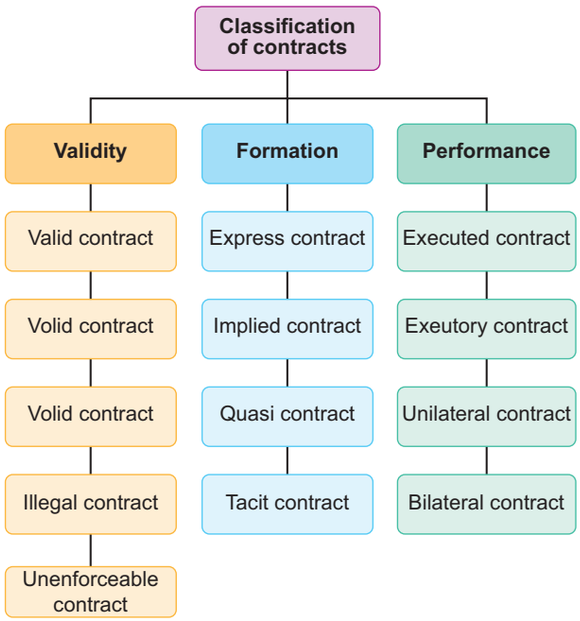
The agreements may be classified into two categories:

Agreement not enforceable by law - Any essential of a valid contract is not available.

Agreement enforceable by law - All essentials of a valid contract are available

29.03 Classification of Contract

TYPES OF CONTRACTS



I. On the Basis of the validity

1. Valid Contract

An agreement which fulfils all the essentials prescribed by law on the basis of its creation. For example S offers to sell his car for Rs.2,00,000 to T. T agrees to buy it. It is a Valid Contract.

Distinction between Contract & Agreement

S.No	Basis	Contract	Agreement
1	Definition	A contract is an agreement enforceable by law.	An Agreement is every promise or every set of promises forming consideration
2	Enforceability	Every contract is enforceable	Every promise is not enforceable.
3	Inter relationship	A contract includes an agreement.	An agreement does not include a contract.
4	Validity	Only legal agreements are called contracts.	An agreement may be both legal and illegal.
5	Legal Obligation	Every contract contains a legal obligation.	It is not necessary for every agreement to have legal obligation.

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